

Multiple Choice

1. **Answer:** D

Options: A) when price goes up supply goes up; B) it is better to give than receive; C) demand creates its own supply; D) supply creates its own demand

Note: Correct option: D - supply creates its own demand

2. **Answer:** D

Options: A) increased government spending.; B) higher tariffs on imported goods.; C) lower taxes on household income.; D) a tax credit on capital investment.

Note: Correct option: D - a tax credit on capital investment.

3. **Answer:** A

Options: A) beneficial to some workers and harmful to other workers; B) beneficial to all workers and harmful to some employers; C) harmful to all workers and employers; D) beneficial to all workers and employers

Note: Correct option: A - beneficial to some workers and harmful to other workers

4. **Answer:** C

Options: A) A high degree of government involvement.; B) Public ownership of resources.; C) Private property.; D) Central planners set wages and prices.

Note: Correct option: C - Private property.

5. **Answer:** C

Options: A) upward sloping at full employment.; B) horizontal below full employment.; C) vertical at full employment.; D) vertical below full employment.

Note: Correct option: C - vertical at full employment.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'lower the price level in the economy'.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'stable.'

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'not found by adding product demand curves horizontally or vertically'.

Long Form Response

11. **Answer:** Higher consumer prices and a misallocation of resources away from efficient producers. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Increases Appreciate Increases. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key